Institute of Economic Affairs

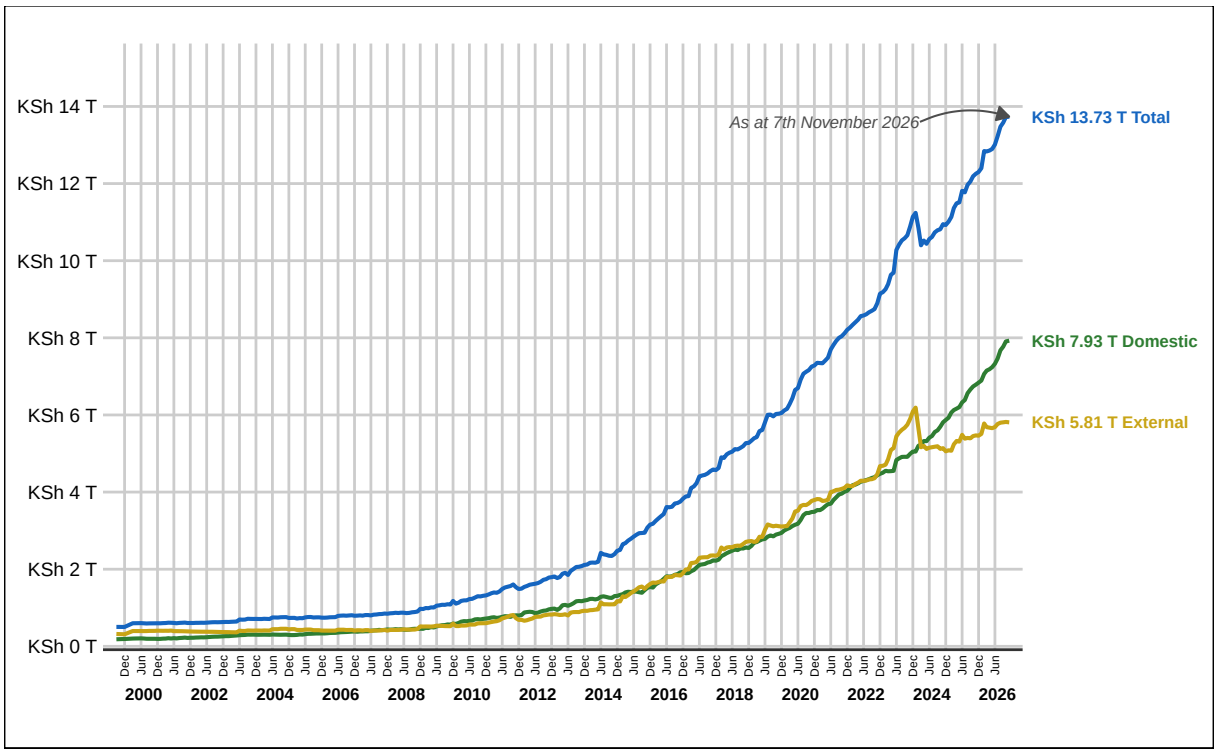
Quarterly Macroeconomic Debt Report

Q3 (July – September 2026)

Published 07 November 2026

Key Metrics at a Glance

Figure 1. Trends in Kenya's Debt (Ksh Trillion)



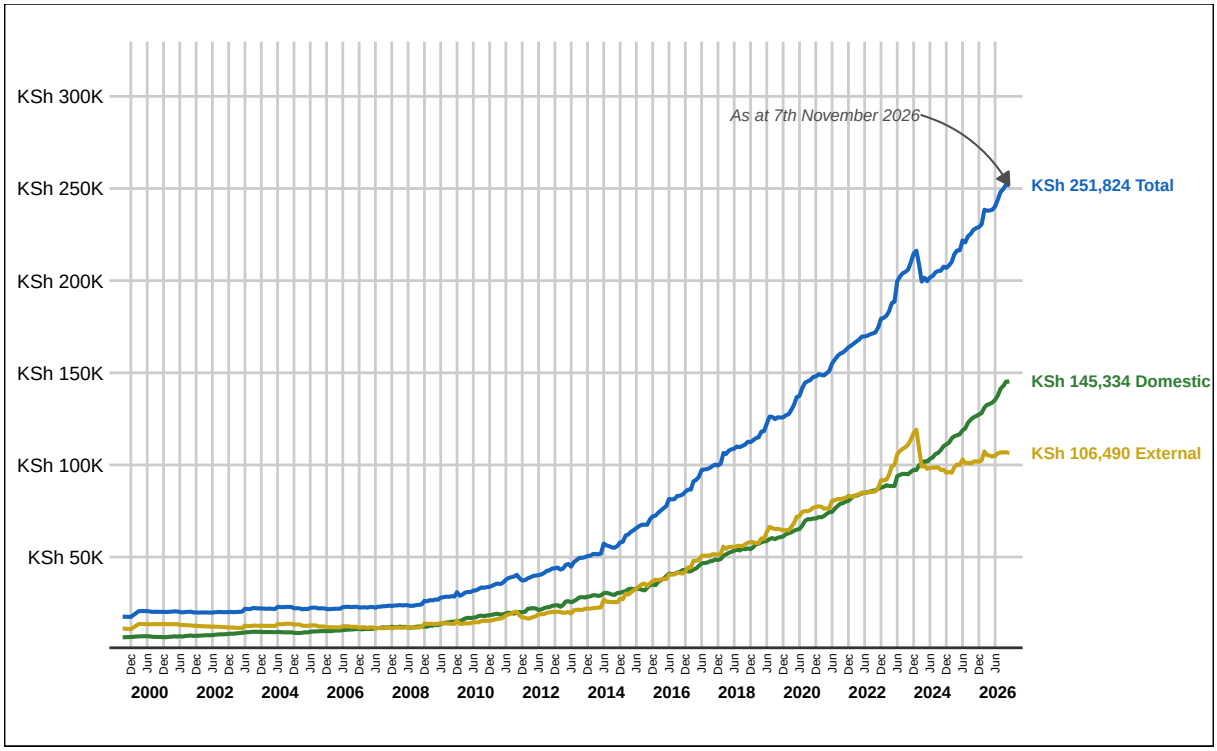
Source: Kenya Debt Counter (kenyadebtcounter.vercel.app) (View data)

As at 7th November 2026, the public debt is estimated at Total debt: **KSh 13.73 trillion**, and is **3.7 times** what it was a decade ago without correcting for inflation. Approximately **KSh 3.14 billion** of new debt stock is added daily. The share composition of debt has evolved as follows:

Table 1: Composition of the public debt stock

Metric	Q2 Jun 2026	Q3 Sep 2026	7th Nov 2026
Domestic	56%	57%	58%
External	44%	43%	42%
Total	**KSh 13.01 T (100%)**	**KSh 13.58 T (100%)**	**KSh 13.73 T (100%)**

Figure 2. Trends in Debt per Capita (KSh)



Source: Kenya Debt Counter (kenyadebtcounter.vercel.app) (View data)

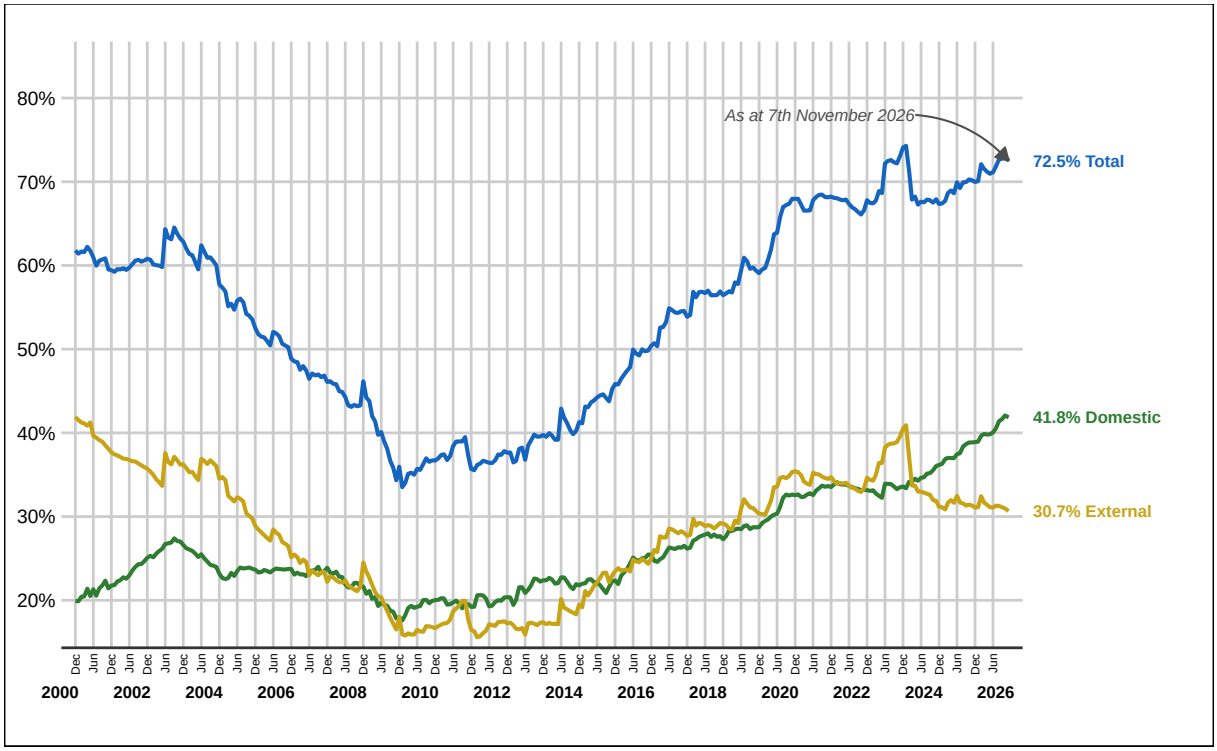
As at 7th November 2026, the public debt is estimated at **KSh 251,824 per person**, and is **3.0 times** what it was a decade ago without correcting for inflation. As per the trend, approximately **KSh 23,210** of new debt is added per person annually. The composition of debt per person has evolved as follows:

Table 2: Public debt per capita, by composition

Metric	Q2 Jun 2026	Q3 Sep 2026	7th Nov 2026
Domestic	KSh 135,309	KSh 142,906	KSh 145,334
External	KSh 104,977	KSh 106,821	KSh 106,490
Total	**KSh 240,286**	**KSh 249,727**	**KSh 251,824**

- **What it means in cash terms.** Clearing the debt stock today would require **KSh 251,824** from every man, woman and child in Kenya – roughly **KSh 1,007,296** for a household of four. A decade ago the same claim stood at KSh 83,962 a person.
- **The burden is compounding, not static.** Each person's share grows by about **KSh 23,210 a year** – close to **KSh 64 every day**, or **KSh 254 a day for a household of four** – before a single shilling of it is repaid.
- **Policy implication – the mix, not just the total.** Domestic borrowing accounts for **KSh 145,334** of each person's share against **KSh 106,490** external, and added **KSh 18,649** a person over the past year against **KSh 4,561** externally. Domestic debt is the more expensive of the two (see the Debt Sustainability Analysis), so the servicing cost carried by each Kenyan is rising faster than the burden itself – stabilising it depends on the borrowing mix and the primary balance, not on the headline total alone.

Figure 3. Trends in the Public Debt (% of GDP)



Source: Kenya Debt Counter (kenyadebtcounter.vercel.app) (View data)

As at 7th November 2026, the public debt as a share of GDP now stands at **72.5%**, compared with **49.9%** a decade ago – a change of **22.6 percentage points**. The composition of debt relative to GDP has evolved as follows:

Table 3: Public debt as a share of GDP, by composition

Metric	Q2 Jun 2026	Q3 Sep 2026	7th Nov 2026
Domestic	40.0%	41.6%	41.8%
External	31.1%	31.2%	30.7%
Total	**71.1%**	**72.8%**	**72.5%**

- **The ratio is high and still climbing.** At **72.5% of GDP** – roughly **9 months** of national output – up **22.6 percentage points** over the decade. Figure 3 shows a sustained net increase in the debt stock; the sharp fall in early 2024 came mainly from the shilling's strong recovery against the dollar, which cut the shilling value of external debt (the 2024 Eurobond was largely refinanced through a buyback rather than repaid outright).
- **Domestic debt is rising faster, and the stock is not the whole claim.** Domestic borrowing equals **41.8% of GDP** against **30.7%** external. Pending bills of **KSh 0.8 trillion** (about 4.2% of GDP) sit outside this ratio – and the FY 2026/27 budget sets aside **KSh 2.3 trillion** for debt service, **70.6% of it domestic**, the costlier class.
- **Growth is too slow to outrun the servicing bill.** Real growth of about **4.6%** in 2025 (KNBS) cannot generate the revenue to cover the **KSh 2.3 trillion** of debt service budgeted for FY 2026/27 – over the past year debt grew **12.0%** against nominal GDP of **8.3%**. While borrowing outpaces output, servicing absorbs a rising share of revenue and crowds out development spending.

Debt Sustainability Analysis

Figures 1 to 3 describe a debt stock growing in absolute terms, per person, and relative to the economy that must service it – reaching 72.5% of GDP. The National Treasury tests whether that burden remains sustainable through a Debt Sustainability Analysis (DSA); on its FY 2025/26 assessment, two of the four headline indicators are above their thresholds.

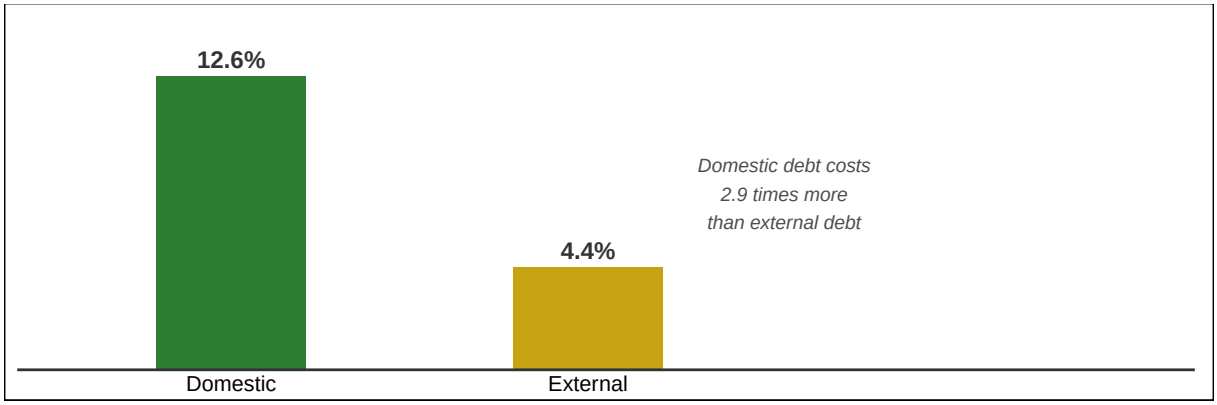
Table 4: Debt sustainability indicators against thresholds, FY 2025/26

Indicator	Threshold	Latest Value	vs Threshold	Status
PV of Public Debt / GDP	55%	65.6%	+10.6 pp	**Breached**
PV of External Debt / Exports	180%	167.5%	-12.5 pp	**Within**
External Debt Service / Exports	15%	18.3%	+3.3 pp	**Breached**
External Debt Service / Revenue	18%	17.6%	-0.4 pp	**Within**

Source: National Treasury, Annual Public Debt Report 2025/26 (Tables 22–23).

- The present value of public debt stands at **65.6% of GDP** against a **55%** benchmark – an overshoot of **10.6 percentage points**.
- Among the external indicators, External Debt Service / Exports (**18.3%** against 15%) is above its limit, while PV of External Debt / Exports (**167.5%** against 180%) and External Debt Service / Revenue (**17.6%** against 18%) are back within theirs.
- The external measures are assessed against exports or revenue rather than GDP, so they track the government's *capacity to pay*, not merely the size of the stock.

Figure 4. The Cost of Domestic versus External Debt



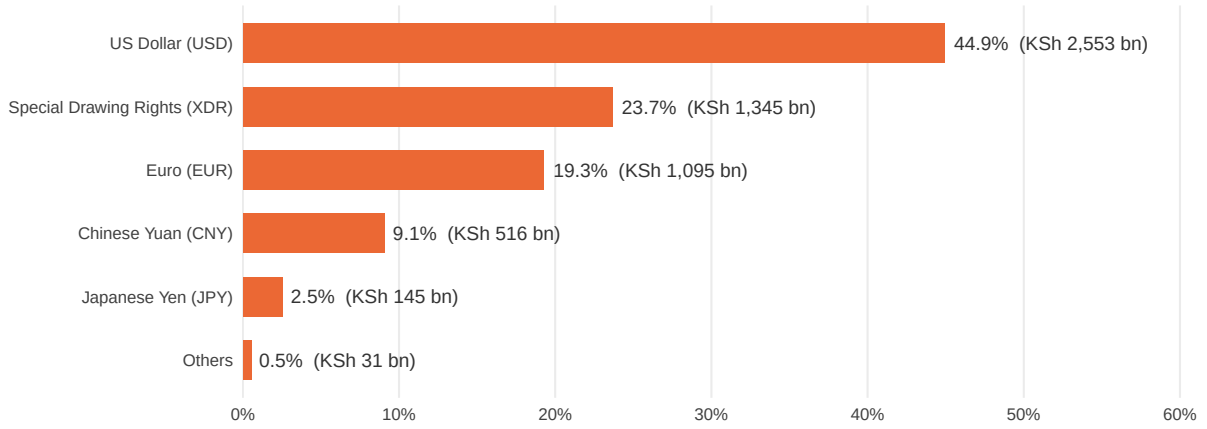
Source: National Treasury, Annual Public Debt Report 2025/26 (weighted average interest rates). (View data)

- **The cause is composition.** Domestic borrowing carries a weighted average interest rate of **12.6%** against **4.4%** on external debt, so each shilling shifted from external to domestic financing costs roughly **2.9 times** as much to carry.
- **The consequence is the repayment burden.** Domestic debt is **57.2%** of the stock at the close of Q3 Sep 2026 but absorbs **70.6%** of the KSh 2.3 trillion debt service budget for FY 2026/27 – a gap of **13.4 percentage points** between what is owed and what must be paid this year. External debt is the mirror image, at **42.8%** of the stock but **29.4%** of repayments.
- **Direction matters more than level.** A stock growing at the pace of Figure 1, increasingly financed domestically at 12.6%, lifts the servicing bill faster than the stock itself – which is why debt service is breaching its limits alongside the debt-to-GDP ratio. PV debt is projected above the 55% benchmark through **2030**.

What the Debt Is Made Of

Figures in this part are drawn from the live data behind the Explore page of the Kenya Debt Counter, kenyadebtcounter.vercel.app/explore, where each chart can be explored and downloaded.

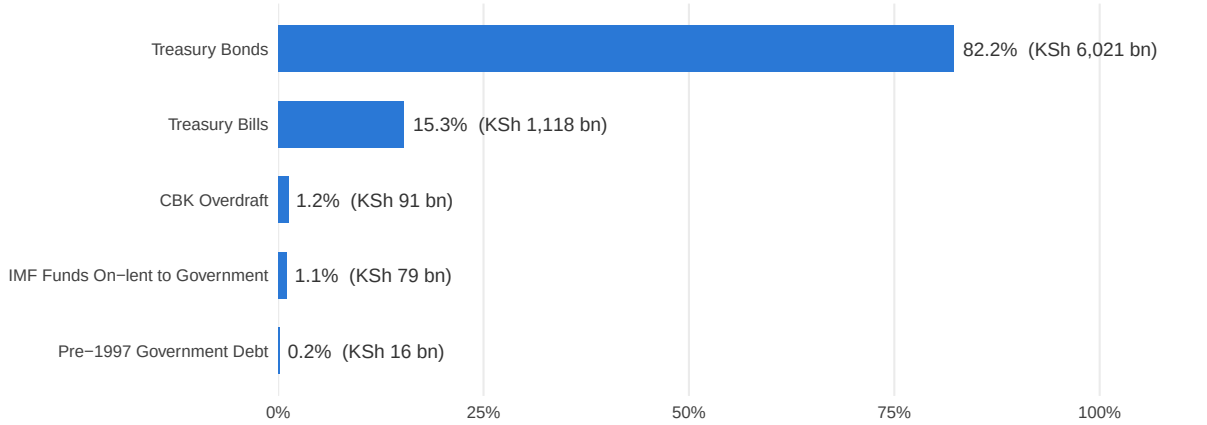
Figure 5. External Debt by Currency, 30 June 2026



Source: National Treasury, via the Controller of Budget's full-year Budget Implementation Review Report. (View data)

At 30 June 2026, external public debt stood at **KSh 5.68 trillion**. **US Dollar (USD)** accounts for **44.9%**, followed by Special Drawing Rights (XDR) at 23.7%. Because this debt is owed in foreign currency, every 1% fall in the shilling adds about **KSh 57 billion** to it in shillings, without any new borrowing. These are the Controller of Budget's figures, so they can differ slightly from CBK's monthly series used in Table 1.

Figure 6. Domestic Debt by Instrument, 30 June 2026

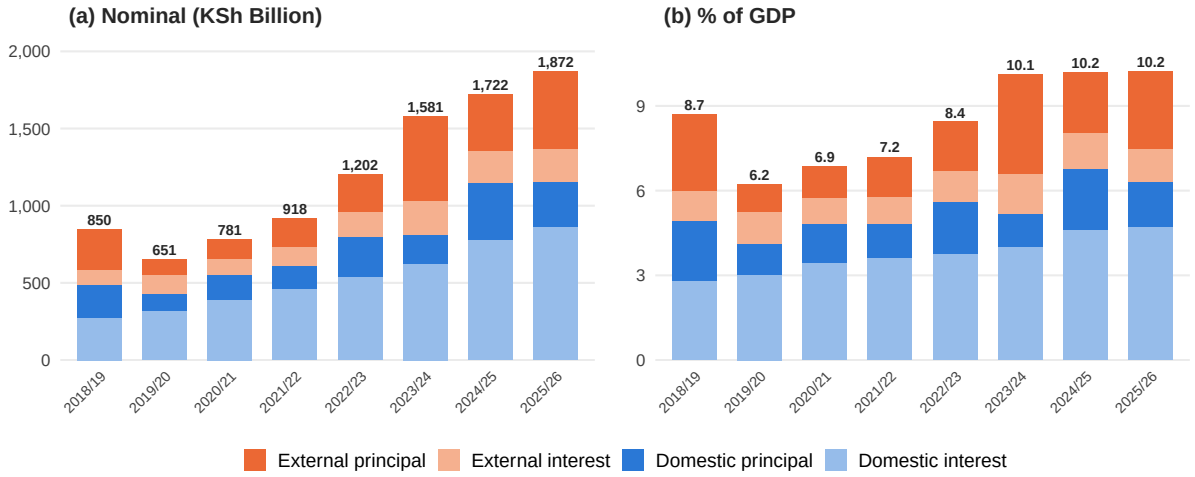


Source: National Treasury, via the Controller of Budget's Budget Implementation Review Reports. (View data)

Domestic public debt stood at **KSh 7.32 trillion** at 30 June 2026. That is KSh 186 billion more than at 31 March 2026. Treasury bonds make up **82.2%**, locking in today's interest rates for years. Treasury bills, which must be rolled over within a year, make up **15.3%**.

What the Debt Costs

Figure 7. Public Debt Service by Fiscal Year



Source: National Treasury, Annual Public Debt Reports; KNBS GDP (fiscal-year GDP, the June value). (View data)

In FY 2025/26 the government paid **KSh 1.87 trillion** to service the public debt (8.7% more than in FY 2024/25), KSh 1.07 trillion of it on interest. That is **72.3%** of the year's ordinary revenue: KSh 72 of every KSh 100 collected. Domestic debt took **61.7%** of the total.

Table 5: Kenya's debt indicators against their limits, latest figures (live)

Indicator	Limit	Latest	Year	Basis	Status
Public debt / GDP	55%	65.6%	2025/26	PV	Above
External debt / GDP	40%	27.5%	2025/26	PV	Below
External debt / exports	180%	168%	2025/26	PV	Below
External debt service / exports	15%	26.6%	2025/26	Face	Above
External debt service / revenue	18%	22.6%	2025/26	Face	Above
Budget deficit / GDP	3%	7.0%	2025/26	Face	Above

PV = present value, the basis the limits are set on; Face = face value. Limits: IMF–World Bank Debt Sustainability Framework thresholds in force for each value's year (Kenya has been a medium debt-carrying capacity country since the April 2021 assessment; it was rated strong, with higher limits, before); Public Finance Management Act anchor (55% of GDP, present value, since October 2023); East African Community convergence ceiling (deficit). Source: CBK, KNBS, National Treasury (debt service and present-value ratios); kenyadebtcounter.vercel.app.

On the latest figures Kenya is above the limit on **4 of 6** indicators: Public debt / GDP; External debt service / exports; External debt service / revenue; Budget deficit / GDP. The table above updates with the live data each day, whereas Table 4 reports the Treasury's own 2025/26 assessment; where the two differ (for example external debt to exports), it is because they come from different sources and years, so each value should be read with its Year column.

How the Debt Fits in the Budget

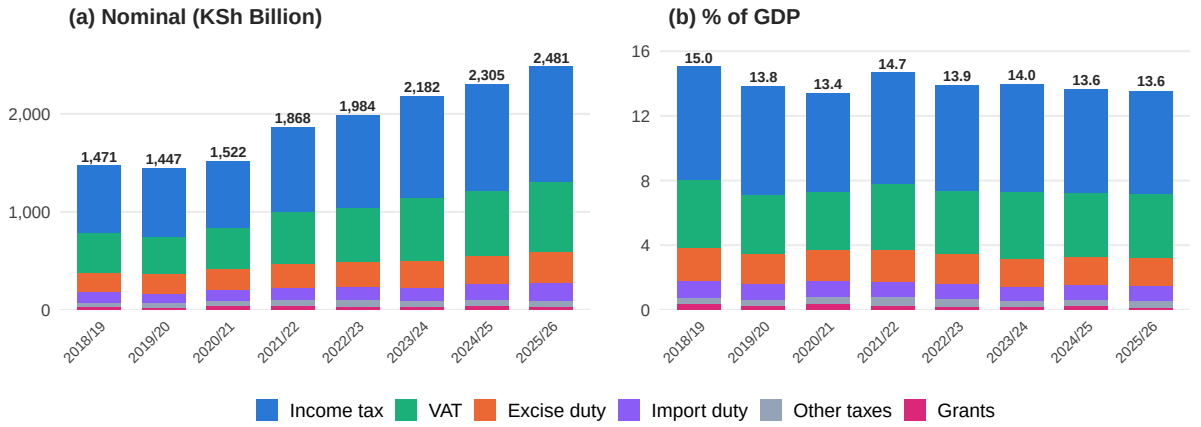
Figure 8. Budget Deficit over the Previous 12 Months (% of GDP)



Source: Central Bank of Kenya, government finance statistics; KNBS GDP. (View data)

Over the 12 months to July 2026 the government spent **KSh 1.37 trillion** more than it collected in revenue and grants, **7.4% of GDP**, above the East African Community's 3% ceiling. The budget for FY 2026/27 targets 5.5%. Interest alone was KSh 1.09 trillion over the same months.

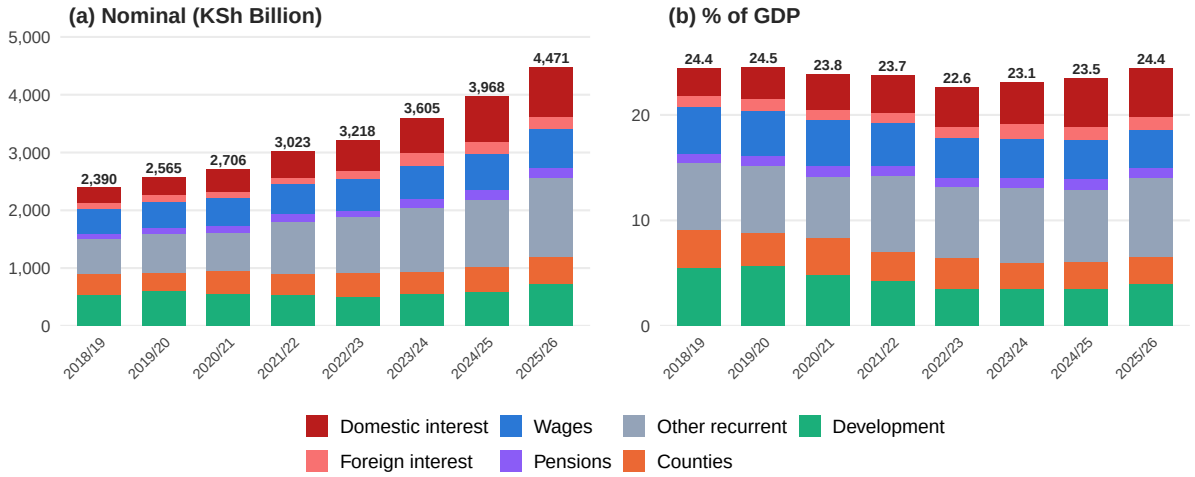
Figure 9. Tax Revenue and Grants by Fiscal Year



Source: Central Bank of Kenya, government finance statistics; KNBS GDP (fiscal-year GDP, the June value). Complete fiscal years. (View data)

In FY 2025/26 tax revenue came to **KSh 2.46 trillion**, **13.4% of GDP**, 8.3% more than in FY 2024/25. Income tax is the largest tax, at 47.8% of the total; grants added KSh 21 billion.

Figure 10. Government Spending by Type



Source: Central Bank of Kenya, government finance statistics; KNBS GDP (fiscal-year GDP, the June value). Complete fiscal years. (View data)

Interest on the public debt took **24.0%** of government spending in FY 2025/26 (**KSh 1.07 trillion**), more than development spending (KSh 726 billion) and more than wages (KSh 668 billion). In FY 2016/17 it was 12.3%.

Data Sources

This report draws on publicly available data published by:

- **Central Bank of Kenya (CBK)** — monthly and quarterly public debt statistics, the Weekly Bulletin (latest domestic debt and external debt in US dollars), daily exchange rates, government revenue and expenditure
- **The National Treasury** — Annual Public Debt Reports (debt service, debt sustainability indicators, cost of debt), budget execution reports, fiscal outturns
- **Office of the Controller of Budget (OCOB)** — National Government Budget Implementation Review Reports: external debt by currency, domestic debt by instrument
- **IMF and World Bank** — joint Debt Sustainability Analyses for Kenya: the thresholds Kenya is judged against, by period
- **Kenya National Bureau of Statistics (KNBS)** — GDP, national accounts, population estimates

Data is ingested via Google Sheets and the Kenya Debt Counter's public API (kenyadebtcounter.vercel.app), processed in R, and rendered using Quarto with XeLaTeX. The report is regenerated automatically through GitHub Actions whenever the underlying data or analysis is updated.

How the latest debt figure is estimated: official debt figures are published with a lag, so the most recent figure in this report ("as at" the report date) is the Kenya Debt Counter's live estimate. Domestic debt starts from the latest CBK Weekly Bulletin figure; external debt is the bulletin's US-dollar figure converted at CBK's exchange rate on the day; both are carried forward at the recent pace of borrowing, checked against the budget deficit of the last 12 months. Earlier months use CBK's published end-of-month figures. Full methodology and the counter's track record against official figures: kenyadebtcounter.vercel.app/methodology.

Definitions:

- *Domestic debt* — Treasury bills, Treasury bonds, and overdraft at the Central Bank
- *External debt* — bilateral, multilateral, and commercial external obligations
- *Debt-to-GDP* — total public debt as a percentage of nominal GDP
- *Debt per capita* — total public debt divided by estimated population